Grade: Check Plus

2.a Probability the stock price will fall within 1 SD σ of the mean one year from now?

$m = 25.41$

$\sigma = 2.74.$

✓ Q2a

Range 25.41 ± 2.74

$= 25.41 - 2.74 = 22.67$

$= 25.41 + 2.74 = 28.15$

within below prices range 23, 24, 25, 26, 27, 28

Probabilities from table

$0.08 + 0.09 + .12 + .15 + .13 + .10 =$

$= 0.67$

Probability w/1 (1σ) 1 SD $= 0.67$

2b. 2 Standard deviations

$25.41 \pm (2 * 2.74)$

✓ Q2b

$= 25.41 - 5.48$

$= 19.93$

$= 25.41 + 2(2.74)$

$= 30.89$

(19.93 to 30.89) all prices inclusive